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FIRST SEA LORD
C.I.G.S.
C.A.S.

Referenoe: C.C.S.26/6/1/51

STRATEGIC IMPORTANCE OF FORMOSA

The importance of Formosa will be discussed at the meeting of the Commonwealth Prime Ministers on Monday, 6th January. and I attach a copy of a paper prepared by the Joint Planning Staff on the Strategic Importance of Formosa. This paper is divided into two parts, as fellows -

ANNEX I - a Memorandum by the Chiefs of Staff which will be circulated to Commonwealth Prime Ministere before the meeting

ANNEX II - an Aide Memoire for use of the Chiefs of Staff at the meeting. This will not be circulated outside the Chiefs of Staff.

2. I should be grateful if you would let me have your agreement or comments on these papers by telephone. You will appreciate that this is a matter of great urgency perticularly as regards Annex I, which must be printed today if it is to be in the hands of the Commonwealth Prime Ministers before their meeting.

(Sgd.) V. W. STREET.

6th January, 1951

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ANNEX I

MEETING OF COMMONWEALTH PRIME MINISTERS

THE STRATEGIC IMPORTANCE OF FORMOSA

Memorandum by the United Kingdon Chiefs of Staff for circulation to Prime Ministers

United States military thought on the strategic importance of Formosa hae crystallised since the start of operations in Korea when the President announced that the occupation of Formosa by Communist forces would be a direct threat to the security of the Pacific area and to the Uuited States forces performing their lawful and necessary functions in that area.

In this they are probably influenced by memory of the fact that the Japanese invasion of the Philippines was launched from Formosa.

2. The United States Chiefs of Staff regard Formosaas a link in the Pacific Island chain of considerable importance for the following reasons :-

(a) Communist aircraft based there could interfere with shipping.

(b) It is directly on the Philippines-Okinawa air reinforcement route and short range fighters would not be able to make this hop if forced wide to avoid Formosa.

(c) Some of Japan's food requirements are met from Formosa and these would have to be provided from elsewhere if the islands were in hostile hands.

3. While admitting the above strategic arguments, we do not consider that they carry much weight when applied to a global war situation. In the event of global war therefore, we consider that Formosa has little strategic value.

4. During the present hostilities in Korea and particularly in the event of an extension of the conflict to China and South East Asia, Formosa has undoubtedly some value in that it lies on the direct route botween Hong Kong and Korea and in the hands of the Communists would therefore to some extent hamper United Nations communications to Korea.

5. Even so, however, we do not think that the importance of Formosa is such that it justifies the risk of general war with China. Our views on this question are set out in the memorandum attached at Appendix whioh we recently sent to the U.S. Chiefs of Staff.

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DESPATCHED BY O.T.P.

APPENDIX

WAR WITH CHINA

MEMORANDUM BY U.K. CHIEFS OF STAFF

1. We recently instructed the J.I.C. to examine the extent to which the U.S. or the United Nations could in fact bring any decisive pressure to bear on China in the event of their becoming involved in war with that country. The assumption taken by the J.I.C. was that the Soviet Union would provide China with the maximum aid short of open intervention - a limited assumption which we are by no means satisfied would be justified because we think it not impossible that war with China might lead to open intervention by the Soviet Union.

2. The long and the short of the J.I.C. conclusions is that China is in fact not vulnerable to any decisive or even very effective extent. A war between the U.S. and China would be the old story of the fight between the whale and the elephant - neither can directly do the other any real harm.

3. On the other hand the unfortunate fact is that, indirectly, China could do the U.S. and U.N. - especially Britain and France - far more harm than vice versa.

4. No doubt in course of time many or most of the large Chinese cities could be destroyed if the U.S. were prepared to devote their resources to that end. But that would not win the war. The vast proportion of China's 475 million do not live in or depend greatly upon their great cities, and human life in China is held very cheap. A historic tradition of flood and famine have rendered the Chinese people impervious to large scale disaster of the extent that could be imposed by atomic attack. Militarily, it is impossible to claim that this would make any appreciable difference to Chinese capacity to hold out. The destruction of centres of industry and transport would no doubt be an inconvenience to them. But the assumption is that they would be supplied with essential heavy armaments by Russia. And anyway the Chinese have recently proved how effective they can be with well-trained tough assault infantry, armed with little but small arms, against Western troops with all the resources of modern scientific armament.

5. So it is hardly an exaggeration to say that, while they would suffer inconvenience and hardship, to which they are inured by their national characteristics based on generations of tradition, they are virtually invulnerable to Western attack.

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6. Against that, even such limited operations as we could conduct against them would absorb military resources of which we are urgently in need in what we all regard as the really decisive theatre, the West. Nothing could suit the Russians better than to see us continue to be involved in expensive but essentially fruitless adventures in the Far East.

7. Moreover, while it may be possible to confine active operations to a sort of "Crimean War" like in Korea, once they cease to be so localized there is in fact no such thing as "limited war". We find it almost impossible to believe that open general war against China in the Far East could fail to spread, sooner rather than later, to war on a world wide scale, with Russia fully engaged. It would in our view be far too optimistic to assume either that China would not invoke the Sino-Russian Treaty or that Russia would not respond if she did invoke it.

8. But even if the unlikely were to happen and the war were confined to the territories adjoining China in the Far East, China would be in a position to do far more harm to the Western Powers than vice versa. The U.S. could no doubt continue to deny Formosa to the Chinese. But open Chinese intervention in Indo-China on a Korean scale, which we think would be inevitable, could not fail to overwhelm French resistance. Following that there can be little doubt that Siam and Burma would crumble; Chinese Communism would lap the borders of India and East Pakistan; the rice bowl of Asia would be in Communist hands - with all that would involve in India, Ceylon, Malaya and last but not least Japan; in the long run Malaya would become almost untenable, and in the short run our difficulties in restoring order in Malaya would become intensified to a degree that they might well become insuperable. It is perhaps conceivable but in our view in the highest degree unlikely, once it ceases to be any use to them for trading purposes, that the Chinese would not attack Hong Kong. If they did so, the colony is quite indefensible against large scale attack.

9. In short, open war against China, even without open intervention by Russia, would almost inevitably involve a major defeat of the Western Powers with consequences that might well be fatal, not only to the unity of the Commonwealth and the United States, but to the whole position of the present free world.

10. Finally, a war with China would throw her irretrievably into the Soviet camp - an eventuality which in the long term we do not now believe is by any means inevitable and which should be avoided at almost any cost. It should surely be one of the main preoccupations of Western policy not to solidify against us the 700 millions of combined Russia and China, backed by Russia's enormous military industrial capacity.